

management industry. Oh, and that trillion dollars he calculated? That was as of 2016—about a decade ago. It’s probably closer to \$2 trillion today.

By keeping the annual expense ratio of what you own to a few basis points, your holdings can compound by that much more.

Big winners

As noted earlier, throughout the history of investing, a group of savants has proven themselves to be brilliant stock pickers: Peter Lynch, Warren Buffett, Benjamin Graham, John Templeton, Thomas Rowe Price Jr., John Neff, Julian Robertson, Joel Greenblatt, and Will Danoff round out the list. Their numbers are few, but they are the exception that proves the rule.

The challenge in selecting stocks is that the vast majority of them don’t move the needle. We discussed Hendrik Bessembinder’s findings earlier—his research showed most stocks don’t really matter.^{[408](#)} But the big drivers of market returns are the 1.3% of publicly traded companies that put up those giant performance numbers over an extended period of time.^{[409](#)}

The odds are worse than 50-to-1 against you picking those giant winners, and even worse, you pick *only* those big winners. Market-cap-weighted indexing, on the other hand, guarantees not only that you will own the best-performing stocks, but that as these companies get bigger, you will own *more of them*. Add in the lower costs of indexing and the higher costs of active, and the formula proves nearly impossible to beat.

Outperformance

Each year, S&P Indices Versus Active (SPIVA) publishes its “Institutional Scorecard.” The latest SPIVA data (Midyear 2024) shows about 90% of active equity fund managers underperform their benchmark on a 10-year horizon.^{[410](#)}

Larry Swedroe is the Director of Research at Buckingham Strategic Wealth.^{[411](#)} He has analyzed the long-term SPIVA data on a 20-year period